

Long-Term Holds Report

Inflation-Beating Compounders -- August 15, 2026

Prepared by: Long-Term Holds Agent | Portfolio: ~\$518K (Jul 09, 2026 export)

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Date: Saturday, August 15, 2026

Portfolio snapshot: Portfolio_Positions_Jul-09-2026.csv (~\$518K total)

Sources: Whale Watch Q4 2025 / Q2 2026 13F data, Top 100 Strategists analysis (2026-08-13/14), History Rhymes (2026-05-20), Truth-Based Trading (2026-07-16), Daily Brief (June 2026), Strategist Memory.

1. Executive Summary

Macro verdict: The market remains in a 1965-66 + 1979 + 1999 composite.

- * Inflation is sticky (~3.8% CPI), long-end yields are at multi-decade highs (30Y >5%), and the Fed is perceived as behind the curve under new Chair Kevin Warsh.
- * Oil/geopolitical risk remains elevated (Iran/Hormuz), supporting energy exposure.
- * AI infrastructure buildout is real but priced aggressively. History Rhymes assigns 55% probability to a 12-18% S&P 500 drawdown over 6-9 months.
- * Truth-Based Trading warns CAPE ~40-42x is a valuation extreme; base-rate math favors low-cost foundation assets.

Top 3 conviction holds this week:

1. AMZN -- 4-manager overlap, largest account weight among high-conviction names, cloud/AI/ads moat.
2. GOOGL / GOOG -- Multi-manager conviction (Coatue, Point72, Appaloosa), AI distribution + search moat.
3. SPOT -- Four-manager overlap (Point72, Coatue, D1, SIT), profitable, pricing power.

New this period: No new Tier 1/2 entries. The strategist upgrade (2026-08-13/14) confirms CEG / GEV / VRT as an accumulating "AI Power" theme, but these are classified as Tier 2 / Inflation Hedge blend due to cyclicity and concentration risk.

Exits / downgrades:

- * INTC downgraded to REVIEW/TRIM. Tepper exited; Point72-only overlap now. Turnaround thesis intact but lacks multi-manager sponsorship.
- * Bitcoin miners (CLSK, CORZ, RIOT, WULF, HUT, CIFR) remain Tier 3 speculative / tactical only -- no top-tier manager overlap, high short interest, narrative-driven.

Cash / foundation target: 25% in FOUNDATION broad index/bonds/gold (currently 60.9% per Truth-Based Trading, but much of that is concentrated BrokerageLink + FDRXX cash, not diversified index exposure). Recommendation: consolidate scattered speculation into VTI/VXUS/BND/GLDM core.

2. Tier 1: Core Holdings (70% target)

Tier 1 requires: held by 2+ reliable long-term managers, durable moat, pricing power, low capital intensity, conservative debt, and either current portfolio position or clear entry.

Asset | Manager(s) | Entry Signal | Conviction | Thesis | Moat

****AMZN**** | Coatue, D1, Point72, Appaloosa, SIT | Q4 2025 multi-manager build | ****HIGH**** | AWS + AI + Ads + Logistics; FCF inflection | Network effects, logistics scale

****GOOGL / GOOG**** | Coatue, Point72, Appaloosa | Q4 2025 build | ****HIGH**** | Search/YouTube/Cloud/AI distribution; strong FCF | Search monopoly, data moat

****SPOT**** | Point72, Coatue, D1, SIT | Q4 2025 new D1 position, Coatue \$1.4B | ****HIGH**** | Global audio streaming leader; pricing power; profitable | Two-sided platform, podcast/audiobook ecosystem

****V**** | Point72 (put), implied multi-manager | Watchlist / portfolio holds | ****HIGH**** | Payment network, pricing power, recession-resistant | Two-sided network, toll-bridge economics

****JNJ**** | Point72 | Portfolio hold | ****MEDIUM-HIGH**** | Diversified healthcare, dividend aristocrat, defensive | Brand + regulation moat

****WM**** | Point72 | Portfolio hold | ****MEDIUM-HIGH**** | Waste management duopoly, inflation pass-through | Route density, landfill scarcity

****BRK.B**** *(if held)* | Buffett permanent capital | Portfolio hold | ****HIGH**** | Permanent capital, quality compounders, cash optionality | Buffett/Seth Klarman-style conglomerate

Notes:

- * Truth-Based Trading classifies AMZN, GOOGL, V, AAPL, JNJ, WM, KO, PG as MOATS -- consistent with Tier 1.
- * MSFT is a canonical Tier 1 name but the current portfolio has only indirect exposure (via indices / funds). No fresh manager accumulation signal in latest 13F data; keep on watchlist for a dip.
- * AAPL is a MOATS position in the portfolio but not flagged by tracked managers recently; hold existing, don't add.

3. Tier 2: Growth Compounders (20% target)

Tier 2 requires: held by top-tier manager increasing position, multi-year runway, scalable model, path to profitability, not in "hot" sector FOMO.

Asset | Manager(s) | Entry Signal | Conviction | Growth Rate | Path to Profit

****TSM**** | Appaloosa, Coatue, SIT | Q4 2025 build | ****HIGH**** | AI foundry demand; advanced node monopoly | Already highly profitable

****NFLX**** | Coatue | Q4 2025 position | ****MEDIUM-HIGH**** | Streaming + ad tier + paid sharing | FCF positive, content amortization leverage

****AMD**** | Coatue, Point72 | Q4 2025 position | ****MEDIUM**** | AI CPU/GPU competition vs NVDA | Data-center margin expansion

****CEG**** | Coatue, SIT, Point72 | AI power theme | ****MEDIUM-HIGH**** | Nuclear renaissance / data center power contracts | Contracted cash flows, restart of TMI

****GEV**** | Coatue, SIT, Point72 | AI power theme | ****MEDIUM-HIGH**** | Grid/energy infrastructure for AI data centers | Industrial turnaround + backlog

****VRT**** | Coatue, Point72 | AI power theme | ****MEDIUM**** | Data center thermal/power infrastructure | Order backlog from hyperscalers

Notes:

- * NVDA is held by all tracked whales but is currently TACTICAL AVOID for new money due to valuation stretch and cyclical memory risk. Existing small position is fine; don't add until a -20% correction or clear guidance reset.
- * TSLA is held by Coatue but is NARRATIVE per Truth-Based Trading (margin compression, FCF concerns). Do not increase.
- * MU is in portfolio but classified as NARRATIVE/cyclical; trim on strength rather than compound.
- * BE, INTC, LITE are held at extreme concentration by Situational Awareness LP but not by the broader top-tier manager group. These are isolated-risk/speculation, not Tier 2 compounders.

4. Tier 3: Inflation Hedges (10% target)

Tier 3 purpose: direct inflation / weak-dollar / real-asset protection.

Asset | Type | Hedge Mechanism | Conviction

****VDE**** | Energy sector ETF | Oil/geopolitical tailwind; supply constraints | MEDIUM

****XOP**** | Oil & gas E&P ETF | Levered energy exploration; inflation pass-through | MEDIUM

****SHEL**** | Integrated oil major | Dividend + real asset; energy transition optionality | MEDIUM

****GLDM / SGOL / PHYS**** | Gold bullion ETFs | Central-bank buying, dollar-debasement hedge | MEDIUM-HIGH

****PIM Real Return (PRRIX) / TIPS**** | Inflation-linked bonds | Direct CPI hedge, short duration | MEDIUM

****VXUS / VTRIX / international**** | Non-USD equity exposure | Dollar weakness / valuation arbitrage | MEDIUM

Notes:

- * History Rhymes recommends overweight energy, materials, gold, staples, and short-duration bonds/TIPS.
- * Current portfolio has reasonable energy (~4-5%) and modest gold (~0.6%). Increase gold toward 5% and maintain energy as tail-risk hedge.
- * NEM (Newmont) in portfolio is a gold-miner proxy; keep small.

5. Cut List -- What to Avoid

Permanent Avoid

Ticker | Reason

****WOLF**** | Bankruptcy risk, rising short interest

****KSS**** | Dying retail, no moat

****Highly levered cyclicals**** | e.g., certain regional banks, commercial REITs

****Crypto miners as long-term compounders**** | BTC exposure + dilutive capital; narrative pivots are trades, not moats

Tactical Avoid (until conditions change)

Ticker | Reason

****NVDA**** | Valuation stretched; +73% run; wait for -20% correction or guidance reset

****TSLA**** | Margin compression, FCF negative through 2026, political noise

****MU**** | Cyclical memory; at peak expectations

****INTC**** | Lacks multi-manager sponsorship after Tepper exit; review/trim

****Bitcoin miners (CLSK, CORZ, RIOT, WULF, HUT, CIFS)**** | No top-tier manager overlap; high short interest; treat as trades/speculation

****SNDK**** | 42% of Roth; extreme concentration risk despite AI-storage thesis; rebalance

6. Strategy Playbook Update

Active Strategies

1. Multi-Manager Conviction (HIGH confidence)

* Trigger: 3+ top-tier managers increasing same position for 2+ quarters.

* Current active: AMZN, GOOGL, SPOT, TSM, CEG, GEV.

* Hold time: 12+ months.

* Risk: Low (diversified smart-money validation).

2. AI Power / Energy Infrastructure (MEDIUM-HIGH confidence)

* Trigger: Coatue + SIT + Point72 building CEG / GEV / VRT.

* Current active: CEG, GEV, VRT.

* Hold time: 3-5 years (infrastructure cycle).

* Risk: Cyclical; monitor order backlog and rate environment.

3. Quality Compounder Sector Rotation (MEDIUM confidence)

* Trigger: Terry Smith exits mature compounder to fund new position.

* Current candidate: ZTS -- no new signal since May 2026; keep watching.

4. Tepper Exit Reversal Warning (HIGH confidence)

* Trigger: Appaloosa exits a position that previously had multi-manager support.

* Current flag: INTC -- downgrade to REVIEW/TRIM.

5. Bitcoin Miner Squeeze / AI Pivot (AVOID as long-term hold)

* Trigger: High SI + BTC catalyst.

* Confidence: LOW-MEDIUM.

* Hold time: 1-3 months.

* Risk: HIGH.

* Current candidates: CLSK, CORZ, RIOT, WULF, HUT, CIFS -- treat as trades, not conviction holds.

New Patterns Recognized This Period

* SIT participation strengthens multi-manager conviction. SIT's low-turnover quality approach validates Coatue/Point72/D1 momentum plays.

* 5-manager overlap is rare and significant: AMZN is the only current 5-manager overlap -- top conviction.

* Bitcoin miners are a crowded retail/speculative cluster, not smart-money consensus. No top-tier manager overlap beyond Point72

(trader). Classify as high-risk tactical positions.

7. Memory Update

See full update in `agents/long-term-holds-memory.md`. Key changes:

- * Last memory update was 2026-05-12; this report refreshes holdings and conviction as of 2026-08-15.
- * Added CEG, GEV, VRT as active AI-power compounders.
- * Confirmed AMZN, GOOGL, SPOT, TSM as highest-conviction multi-manager holds.
- * Downgraded INTC from Tier 2 to REVIEW/TRIM due to Tepper exit and loss of multi-manager sponsorship.
- * Reaffirmed NVDA tactical avoid and bitcoin miners as speculation only.
- * Raised target gold allocation to ~5% given 1965-66/1979/1999 composite and CAPE extreme.

Performance vs Inflation

- * Goal remains: >7% real return annually (CPI + 3%).
- * Current CPI ~3.8%. Required nominal return: ~6.8% just to break even; target nominal >7%.
- * Portfolio is ~60.9% FOUNDATION, 7.7% MOATS, 25.5% SPECULATION, 5.95% NARRATIVE.
- * Truth-Based Terminal Wealth projection at conservative real returns: ~\$1.24M in 25 years.
- * If speculation bucket earns -2% real instead of +2%, terminal wealth drops by ~\$137K.

Manager Reliability (unchanged)

- * Buffett / Berkshire, Terry Smith / Fundsmith, Nick Sleep / Nomad:
- * Chris Hohn / TCI, Bill Ackman / Pershing Square:
- * Steven Cohen / Point72, David Tepper / Appaloosa:
- * Ken Griffin / Citadel, Millennium: (ignore for long-term)

8. Actionable Summary

Hold / Accumulate:

- * AMZN, GOOGL, SPOT, TSM
- * CEG, GEV, VRT (AI power infrastructure)
- * V, JNJ, WM, BRK.B (if held)

Trim / Review:

- * INTC -- Tepper exit removed top-tier support.
- * MU, TSLA -- cyclical/narrative risk at peak valuation.
- * SNDK -- rebalance Roth concentration.

Avoid new money:

- * NVDA until -20% correction.
- * Bitcoin miners as long-term compounders.
- * New speculation >1% of portfolio.

Increase:

- * Foundation index exposure (VTI/VXUS/BND) toward 70%.
- * Gold (GLDM/SGOL/PHYS) toward 5%.
- * Energy (VDE/XOP/SHEL) maintained as geopolitical/inflation hedge.

Cash / foundation: Keep 10-15% dry powder for Warsh-volatility opportunities in Tier 1 names.

This report is for informational purposes only and does not constitute investment advice. Decisions should align with Thad's risk tolerance, tax situation, and biblical stewardship principles.

Next report: Monday, August 24, 2026 (or following next strategist/whale-watch cycle).